

One Page Segmentation Brief

Customer Segmentation Brief

We reviewed the behaviour of 1,500 customers using three simple measures: how recently they purchased, how often they purchased, and how much they spent.

We found **five useful customer groups**. We chose five instead of four because four groups combined customers who needed different marketing actions. Using five groups gives us a separate group for customers who are becoming inactive, rather than combining them with customers who are still regularly purchasing. We did not use more groups because additional groups would make the customer base harder to manage without adding a clear marketing action.

1. Champions — 207 customers (13.8%)

These customers purchased recently, about 20 days ago on average, purchased about 19 times, and spent approximately ₹46,921 on average.

Recommended action: Treat them as priority loyal customers. Use loyalty rewards, early access and premium offers to retain them.

2. High-Value Occasional Customers — 130 customers (8.7%)

These customers spent the most on average, approximately ₹68,078, but purchased only about four times and last purchased around 65 days ago.

Recommended action: Encourage them to purchase more frequently through personalised recommendations and targeted offers.

3. Loyal Regulars — 483 customers (32.2%)

These customers purchased around 62 days ago on average, made about nine purchases and spent approximately ₹23,069.

Recommended action: Maintain their engagement through loyalty benefits, repeat-purchase offers and cross-selling.

4. At-Risk Mid-Value Customers — 356 customers (23.7%)

These customers have not purchased for approximately 250 days. They made about four purchases and spent approximately ₹12,527.

Recommended action: Start a reactivation campaign before more of these customers become inactive.

5. Dormant Low-Value Customers — 324 customers (21.6%)

These customers have been inactive for approximately 563 days. They made about two purchases and spent approximately ₹4,142.

Recommended action: Use a low-cost win-back campaign to test whether they can be brought back.

One Page Segmentation Brief

Where to act first

The first priority should be protecting the customers who already show very strong engagement, particularly the Champions group. At the same time, the At-Risk group should receive timely reactivation campaigns because they still show meaningful previous purchasing behaviour.

Limitation

Customer behaviour can change over time. A customer who is currently active can become inactive, while a dormant customer can return. The groups therefore describe current behaviour rather than permanent customer types.

How often to update it

The customer groups should be reviewed approximately **monthly**. They can become outdated as customers make new purchases, stop purchasing, or change how much they spend. A monthly review would allow marketing campaigns to use reasonably current customer behaviour.